

Pre-Class Assignment: Korinek & Lockwood Essay

“Preserving Fiscal Stability in the Age of Transformative AI”

ECON 470 — Microeconomics of Artificial Intelligence

Spring 2026

Reading: Anton Korinek and Lee Lockwood, “Preserving Fiscal Stability in the Age of Transformative AI,” *The Digitalist Papers*, Vol. 2 (2024). Available at digitalistpapers.com/vol2/korineklockwood.

Due: In person, Monday April 20, at the start of class.

Instructions: Answer each question in 1–3 sentences. These are reading-check questions — they should be quick if you read the essay. You must submit this assignment in person. The assignment must be handwritten. No photocopies will be accepted.

Why we do this: A team of your classmates is presenting this essay and leading a 10-minute discussion afterward. These questions ensure you arrive ready to participate.

-
1. Korinek and Lockwood identify a core fiscal problem: when value creation shifts from labor to capital, tax revenue falls. Why does this happen under the current U.S. tax system?
 2. The authors propose a two-phase framework. What distinguishes Phase 1 (“the twilight of labor”) from Phase 2 (“AI-dominated economy”)?
 3. The authors argue for taxing AI *services* to consumers rather than taxing AI *equipment*. What is their reasoning?
 4. The essay discusses “fixed-factor taxation” (taxing land, spectrum rights, orbital slots). Why do the authors consider these especially attractive tax bases in an AI economy?
 5. Pick one proposal from the essay — either a tax reform or a structural alternative like public co-investment — that you found either compelling or questionable. State it in one sentence, then say why you reacted the way you did.